
PAPERBOY

SATURDAY, SEPTEMBER 5, 2026

August payrolls came in at +162,000 with July's contraction revised away entirely, and the market immediately repriced the September Fed meeting from a hold towards a hike.

AI

Claude machine-checks Fermat's Last Theorem in eleven days

WHAT HAPPENED

Anthropic published on 4 September that an internal Claude model produced the first complete, machine-verified formalisation of Fermat's Last Theorem in the Lean proof assistant: **13 million lines of Lean, 30,300 theorems proved, 11 days** of largely autonomous work, roughly **6 billion output tokens**. The model was “roughly comparable to Claude Fable 5.1” — general-purpose, not a bespoke maths system. Human input was limited to occasional steers from Anthropic's Tianyi Peng, of the flavour “Jacobian as a scheme sounds high priority”. Imperial College's Kevin Buzzard, who leads the multi-year human effort, collaborated. Two caveats Anthropic states itself: it follows a *simplified* version of Wiles's 1995 proof, and multi-agent coordination failed outright — agents “quickly lost track of the project's state” until a dependency tracker called Prove2Me was built for them. [Anthropic](#)

WHAT IT MEANS

The claim is not that AI did mathematics. It is that a general model, given eleven days and a scheduler, closed a formalisation gap a human community had been working through for years. Lean is unforgiving — a proof compiles or it does not — so this is one of the few capability results that cannot be argued with. The failed-coordination detail is the useful one: the bottleneck was project management, not reasoning.

WATCH NEXT

Whether Buzzard's project adopts any of the Lean output, and whether Prove2Me is released.

Washington and Beijing line up their first substantive AI safety talks

WHAT HAPPENED

The US and China are preparing their first serious AI safety talks for **mid-September in Beijing**, with Treasury Secretary **Scott Bessent** leading the American side; the Chinese counterpart is unsettled between Vice Premiers He Lifeng and Ding Xuexiang. On the agenda: monitoring AI-directed cyberattacks, a US proposal that American and Chinese labs “police themselves” and share information to prevent them, and US concerns about alleged Chinese distillation of proprietary American models, Anthropic's in particular. Beijing's stated concern runs the other way — whether the US regulates its most advanced models sufficiently. Chinese officials call the talks “a major deliverable” of the leaders' summit. *Anonymous sourcing to a single wire; both governments declined to comment, and neither date nor venue is fixed.*

WHAT IT MEANS

Bessent leading an AI safety delegation rather than a technologist tells you which department owns this file. The distillation complaint is the first time model weights have been raised as an intellectual-property grievance at this level, which puts it alongside chips rather than safety.

WATCH NEXT

Xi is due at the White House on 24 September. If these talks happen, they happen first, and their output becomes summit material.

Anthropic's listing slips: marketing to mid-October, prospectus to late September

WHAT HAPPENED

Reuters reported on 4 September that Anthropic's IPO has slipped — **marketing now begins mid-October at the earliest**, with the listing completing days before the November midterms, and the **prospectus filing moving to late September** from “as early as next week”. Morgan Stanley, Goldman Sachs, JPMorgan and Citi are underwriting, and a **\$15bn revolving credit facility** is being finalised first. Investors describe a listing at around **\$2 trillion**, against a \$965bn private post-money mark. *Reuters exclusive, single wire, no company comment.* EDGAR confirms Anthropic has never filed an S-1. [Reuters via AOL](#)

WHAT IT MEANS

The revolver coming first is the tell. You do not arrange \$15bn of backup liquidity before pricing unless the burn is large enough that the book needs to see it covered.

WATCH NEXT

The prospectus in late September is the first document with real numbers in it. Until then every valuation figure is investor talk.

Chip stocks were bid on a day the rest of the tape was not

WHAT HAPPENED

Friday's divergence is the semiconductor story. With the S&P 500 down 0.38% and market-implied odds of a September rate *rise* jumping to roughly **60% from 49%**, long-duration, high-multiple names should have taken the worst of it. Instead **Intel rose 4% to \$95.41, AMD 3% to \$471.05, Nvidia 2% to \$232.37** and the iShares Semiconductor ETF 3% to \$517.91 — against a Nasdaq-100 tracker that finished flat. No upgrade, price target or company announcement was attached to any of the three on the day. *The individual closes come from one market blog; the direction is corroborated by the broader tape.* [24/7 Wall St](#)

WHAT IT MEANS

Rotation, not news. For most of August the AI complex stopped rewarding good results — Broadcom fell 3.5% on 221% AI revenue growth, Dell fell into its print, Palantir fell on a production award. Friday inverted that: no news at all, and the group was bought while the index sold off. If a hawkish macro print is now a reason to *own* semis, the market has decided the buildout is insensitive to the funds rate, which is a large assumption to be making a fortnight before an FOMC meeting.

WATCH NEXT

TSMC's August revenue around 10 September, and Micron's fiscal Q4 on 30 September — the first hard test of that assumption.

Arm and Microsoft put money into making Nvidia substitutable

WHAT HAPPENED

Gimlet Labs raised a **\$300m Series B at a \$3bn post-money valuation**, led by Andreessen Horowitz, with **Arm** and **M12 (Microsoft)** joining as new investors alongside Sapphire, Menlo and Factory. Total raised is \$392m, up from roughly \$80m six months ago. The company sells a “multi-silicon inference cloud” that disaggregates inference so that different phases of a request run on different hardware, with work spanning Nvidia, AMD, Intel, Arm, Cerebras and d-Matrix. It claims up to **10x** gains in throughput and interactivity and says it manages hundreds of megawatts. CEO Zain Asgar: the software “intelligently slices and orchestrates workloads across different types of hardware”. Customers are unnamed, but the release refers to “one of the top three frontier labs” and a top-three hyperscaler. [Company release](#)

WHAT IT MEANS

Read the cap table rather than the product. Arm and Microsoft are funding a layer whose explicit purpose is to make the choice of accelerator a scheduling decision rather than a platform commitment — which is to say, to attack the part of Nvidia's moat that is CUDA rather than silicon. A \$3bn valuation on that thesis is a statement about where the buyers think inference margin is going.

WATCH NEXT

Whether any named hyperscaler will say publicly that it runs production inference across mixed silicon.

August payrolls +162,000, and July's contraction was revised away

WHAT HAPPENED

The BLS reported on Friday: **“Total nonfarm payroll employment increased by 162,000 in August, and the unemployment rate was unchanged at 4.1 percent.”** The strongest month in five, and roughly triple a consensus in the 53,000–65,000 range. The revisions matter more: **“The change in total nonfarm payroll employment for June was revised up by 11,000, from +20,000 to +31,000, and the change for July was revised up by 44,000, from -23,000 to +21,000.”** July's contraction — the number every Fed speech this summer was built around — no longer exists. Detail: food services +59,000, local government education +42,000, construction +22,000, manufacturing +16,000, **information -23,000**. Average hourly earnings rose 0.3% to **\$37.75**, up 3.1% on the year; participation ticked to 61.6%, still half a point below January. [BLS](#)

WHAT IT MEANS

Waller's Wednesday conditional — a September hold “if this continues in the data due over the next two weeks” — was written against a labour market that had just shrunk. It did not continue. Wage growth at 3.1% is not inflationary, so this is a growth surprise rather than a price one; but the Fed spent the summer justifying restraint by pointing at hiring, and that justification was revised out from under it.

WATCH NEXT

August CPI on 10 September, then the FOMC on 15–16 September with a fresh dot plot.

Stocks fell on good news; the front end sold off, the long end didn't

WHAT HAPPENED

Wall Street took it badly, because in this cycle a strong labour market means a *hike*. The AP wrap has the **S&P 500 at 7,718.60, -29.11 (-0.38%)**, the **Dow at 53,414.25, -271.86 (-0.50%)**, the **Nasdaq at 26,506.99, -77.07 (-0.29%)** and the **Russell 2000 at 2,975.65, +7.38 (+0.25%)** — small caps the only green on the board. Implied odds of a September rise moved to about **60% from 49%**. Treasury's par curve for 4 September: **2Y 4.37, 5Y 4.54, 10Y 4.78, 30Y 5.24** — the two-year up 3bp, the thirty-year *down* 1bp. Oil is still unseizable: Brent quoted between **\$95.04 and \$96.90**, WTI between **\$90.55 and \$91.48**, two of three trackers lower and one higher. We print the range. [Treasury](#)

WHAT IT MEANS

A flattening on a hawkish print is the market saying it believes the Fed will act and does not believe that will cause inflation — near-term tightening, unchanged long-run expectations. Orderly repricing, not a scare. The equity move was larger than the bond move, which usually means positioning rather than conviction.

WATCH NEXT

Whether any other governor now uses Waller's word “holding”, or drops it.

Lululemon loses a sixth of its value in a day

WHAT HAPPENED

Lululemon fell 17.4% to \$100.61 on roughly ten times average volume after second-quarter revenue fell **4% to \$2.4bn** and third-quarter guidance of **\$2.29-2.32bn** implied a further 10% decline. The stock is down more than **51% year to date**. Incoming chief executive Heidi O'Neill takes over this month after seven months of interim leadership. Peers barely moved — Nike -1.0%, Deckers +1.6% — so this is company-specific. Two other severe breaks the same session, *one market blog only, not independently confirmed*: Guidewire -22.2%, Fair Isaac -17.5%. [Motley Fool](#)

WHAT IT MEANS

A discretionary brand guiding down 10% into the holiday quarter while restaurant payrolls add 59,000 is an awkward pair of facts. The likely reconciliation: consumers are still spending, but on experiences rather than \$120 leggings — a mix shift, not a demand collapse.

WATCH NEXT

O'Neill's first quarter, and whether any other premium apparel name guides down before it.

Nscale seeks \$3.5bn before an IPO, with \$2bn of it from Nvidia

WHAT HAPPENED

AI compute provider **Nscale** is raising roughly **\$3.5bn** in pre-IPO financing — **\$1.5bn in convertible notes plus \$2bn from Nvidia** — ahead of a US listing that could come as early as this month. The pitch rests on about **\$103bn in projected revenue from signed customer leases**, anchored by a reported **\$45bn deal with Anthropic**. Nscale raised a **\$1.1bn Series B in March 2026** led by Aker, billed as the largest Series B in European history, after a \$155m Series A in December 2024. *Single-source: this originates with Bloomberg reporting citing an unnamed person; Nscale has not confirmed terms.* [TechCrunch](#)

WHAT IT MEANS

Nvidia writing a \$2bn cheque into a customer that will spend it on Nvidia hardware is vendor financing, and the market has stopped pretending otherwise. The number that matters is not the \$103bn of “projected revenue from signed leases” but the credit quality behind it: a lease book concentrated in one AI lab is a single counterparty exposure wearing a diversified costume.

WATCH NEXT

The S-1. It would have to disclose customer concentration, and that is the whole question.

XDOF in talks at \$1.2bn, three months out of stealth

WHAT HAPPENED

XDOF, a robot-teleoperation data startup founded in 2024 by Berkeley researchers Philipp Wu and Fred Shentu, is in late-stage talks for a Series B **led by 8VC at roughly a \$1.2bn valuation**. The amount is undisclosed and it is not clear whether the mark is pre- or post-money. The company raised a **\$70m Series A in June 2026** led by Thrive, with a16z, Lux and Spark participating, and reports annualised revenue approaching **\$50m** across **20 customers**, several of them frontier labs. *Sourced to “several people with knowledge of the deal”; neither XDOF nor 8VC commented.* [TechCrunch](#)

WHAT IT MEANS

\$50m of revenue at a \$1.2bn mark is 24x, which is sober by 2026 standards. What is being paid for is the position: teleoperation data is the input constraint on robot foundation models the way labelled text was on language models in 2019, and the buyers are the labs.

WATCH NEXT

Whether the round closes at that mark, and whether any lab discloses a data-supply contract.

The smaller book: Ghana fintech, Belgian storage, Singapore robotics

WHAT HAPPENED

Rounds announced on 4 September, all carried by funding aggregators rather than independently confirmed: **Moment** (Ghana, fintech) raised a **\$22m Series A** co-led by Speedinvest and QED, with Global Founders Capital and FJ Labs; **Octave.energy** (Belgium) took **€10m** led by SPDG Growth with imec.istart, BNP Paribas Fortis and KBC, split between equity and flexible debt; **Hivebotics** (Singapore) raised a **\$6m Series A** led by Vertex Ventures SEA and India; and **Rwaj** (Jeddah) closed a **\$1.2m pre-seed** with the lead undisclosed. Eleven S-1s were filed with the SEC on 4 September; the only conventional venture-backed IPO candidate among them was **ADARx Pharmaceuticals**. [Tech Startups](#)

WHAT IT MEANS

Three of the four are outside the US and none is an AI application company. That is worth noting on a week when the two nine-figure rounds both went to compute infrastructure: capital at the top of the stack is concentrating hard, and everything else is being funded at ordinary sizes in ordinary places.

WATCH NEXT

Whether the ADARx S-1 prices — biotech's IPO window has been shut most of the year.

Talwani converts her mail-voting block into a preliminary injunction

WHAT HAPPENED

Judge **Indira Talwani** (D. Mass.) on Friday replaced her expiring temporary order with a **preliminary injunction** blocking the administration's Postal Service rule restricting mail voting for the midterms. From the ruling: **“Plaintiff States are required under state law to mail millions of ballots to voters on a prescribed timeframe. As detailed below, they are unable to pivot this late in the election cycle, nearly guaranteeing significant disenfranchisement for eligible voters.”** The injunction lets states adopt the new USPS system voluntarily; none has said it will. The posture matters: the Supreme Court set aside Talwani's June hold in late August, USPS issued its implementation rule, the states re-filed, and this is the result. An appeal is expected. *We could not reach the docket; two independent outlets render the quote identically.* [OPB](#)

WHAT IT MEANS

A preliminary injunction is a different animal from the TRO it replaces: it requires a finding of likely success on the merits, survives until final judgment, and is appealable in its own right. Several wires headlined it “extends block”, which undersells it.

WATCH NEXT

Separately, the government's stay application in *USPS v. California*, No. 26A297, is still live at the Supreme Court — challengers' response is due 10 a.m. EDT Monday 8 September, and the docket showed no movement on 4 or 5 September.

Missouri's map fight reaches the Supreme Court as 26A304

WHAT HAPPENED

The Missouri Supreme Court on 4 September **denied without comment** Secretary of State Denny Hoskins's application to stay its 3 September ruling, which sends the “Missouri First” congressional map to a referendum and runs the 3 November election on the 2024 districts. Hoskins went straight to Washington: the emergency application is **No. 26A304**, *Hoskins v. Von Glahn*, submitted to **Justice Kavanaugh**, **response due noon EDT Monday 7 September**, with the RNC and NRCC filing in support. *Correction to local coverage: several outlets credit Attorney General Catherine Hanaway with the filing. She is not named on the docket; counsel of record is Solicitor General Louis Capozzi.* [Supreme Court docket](#)

WHAT IT MEANS

Capozzi's argument is practical rather than constitutional — that the injunction asks election authorities to do “what is technically impossible”. Judge Ginger Gooch pre-empted it below: the secretary's own “delay created the confusion, expense, and practical difficulties of which he complains.” That framing is hard to unwind on an emergency posture, where the Court is weighing equities rather than merits.

WATCH NEXT

A response by noon Monday and a Missouri ballot deadline on Tuesday 8 September. This resolves within days, not weeks.

Two executive orders on ranchers and meat-packing competition

WHAT HAPPENED

Trump signed “**Supporting America's Ranchers**” and “**Promoting Fair Competition In Livestock Markets**” on 4 September. The competition order directs Agriculture to prioritise **Packers and Stockyards Act** investigations into unfair or deceptive practices, add staff, and coordinate antitrust work with the Justice Department, with a report due in **60 days**. It also tells USDA to streamline state meat-inspection participation, fund technical assistance for small processors and publish a directory of local processing facilities — plus two further 60-day reports, one on statutory barriers to interstate sale of state-inspected meat. [White House](#)

WHAT IT MEANS

Four packers control most US beef slaughter, and cattle producers have complained about the spread between cattle and beef prices for a decade. This is a farm-state gesture ahead of November that costs nothing up front — everything binding is a report due in 60 days, which lands after the election.

WATCH NEXT

Whether DOJ Antitrust actually opens anything, and the 60-day report in early November.

Witkoff and Kushner are in Moscow today and Kyiv tomorrow

WHAT HAPPENED

Steve Witkoff and **Jared Kushner** flew to Moscow on Friday, are due to meet **Putin at the Kremlin today** and **Zelensky in Kyiv tomorrow** — their first Kyiv visit of Trump's second term. Both dates hold up independently: Axios's Barak Ravid reported the itinerary, TASS confirmed the Moscow leg, and Zelensky said on his own accounts he was preparing for a Sunday visit. The trip follows CIA Director John Ratcliffe's recent Moscow visit. Trump on Friday: **“I sent Steve Witkoff and Jared Kushner ... to see whether or not we can get something done.”** *No dates from the White House or State — the itinerary is journalist- and Zelensky-sourced.* [Axios](#)

WHAT IT MEANS

This is the fourth announced Witkoff mission this year and the first with confirmed dates on both ends, which is the only reason it is in the brief. Moscow first, Kyiv second has produced nothing three times; the difference is Ratcliffe's preparatory visit, which suggests the Americans checked whether Putin's own intelligence chiefs could move him before spending a principal's trip on it.

WATCH NEXT

Whether anything is said in Kyiv on Sunday beyond a photograph.

A Russian drone hit the SBU headquarters in central Kyiv

WHAT HAPPENED

A Russian drone struck the headquarters of Ukraine's **Security Service (SBU)** in central Kyiv on Friday morning, injuring **12 people**, per local authorities. The building houses staff running deep-strike operations inside Russia. **Zelensky**: “The drone was deliberately targeted at the head of the SBU's office in that building.” Overnight elsewhere: one killed and five wounded including a child in Odesa region, two police officers killed in Dnipro. Foreign Minister Andrii Sybiha: “**Moscow launched this strike during a renewed push for peace — laying bare its true rejection of diplomacy.**” *The deliberate-targeting claim is Ukraine's assessment; Russia's account is not reflected.* [PBS](#)

WHAT IT MEANS

Striking the building that runs Ukraine's operations inside Russia, on the eve of an American delegation arriving in Moscow, is legible either as leverage or as an answer. Both readings assume intent, which is exactly what nobody outside Moscow can establish.

WATCH NEXT

Whether the Kremlin says anything about the strike while Witkoff is in the room.

First Iran sanctions since the strikes land on three Turkish entities

WHAT HAPPENED

OFAC on 4 September designated three linked Istanbul entities under Executive Order 13902: **Golden Global Yatırım Bankası** (SWIFT GOGYTRIS), **Golden Global Portföy Yönetimi** and **Golden Global Varlık Kiralama**, alongside **Iran General Licence CC** for wind-downs. This is the first Iran designation since the 1 September strikes — and note what it is not: Bessent said on 2 September that sanctions on a *bank* were “likely to announce this week”, widely read as a Chinese institution. It was a Turkish one. Separately Washington ruled out talks with Tehran until attacks on shipping stop, and Trump said “**We may hit Pickaxe Mountain very soon**”, of the deeply buried nuclear site near Natanz. [OFAC](#)

WHAT IT MEANS

A Turkish correspondent bank is a real target — Golden Global is a sanctioned-oil payments channel — but it is a smaller step than a Chinese designation, and Beijing is the buyer that matters. Read it as Washington picking a target that costs Iran revenue without opening a front with China three weeks before Xi's visit.

WATCH NEXT

CENTCOM has published nothing since its 1 September release. In Lebanon, Israel struck five locations after a drone attack on its troops in the southern security zone; the Lebanese health ministry reported at least three killed and 23 injured.

SOURCES

BLS — Employment Situation, August 2026

Treasury — Daily par yield curve, September 2026

AP — How major US stock indexes fared Friday 9/4/2026

Anthropic — Formalizing Fermat's Last Theorem

Reuters (via AOL) — Anthropic IPO launch shifts toward mid-October

Gimlet Labs — \$300m Series B at \$3bn

24/7 Wall St — Intel climbs 4% as chip stocks shrug off rising rate-hike odds

Motley Fool — Stock market today, Sept 4

TechCrunch — Nscale seeks \$3.5bn pre-IPO

TechCrunch — XDOF in talks at a \$1.2bn valuation

Tech Startups — Funding news, 4 September 2026

OPB — Federal judge extends block on mail-voting order

Supreme Court — Hoskins v. Von Glahn, No. 26A304

Supreme Court — USPS v. California, No. 26A297

White House — Promoting Fair Competition In Livestock Markets

Axios — Witkoff and Kushner to Moscow and Kyiv

PBS NewsHour — Russian drone strikes SBU headquarters

OFAC — Iran-related designations, 4 September 2026

Times of Israel — liveblog, 4 September 2026

Al Jazeera — Iran war live, 4 September